

a lot of investment flowing into these areas, but founders and investors alike need to ensure they are building companies with sustainable and financially sound models rather than simply chasing growth,” he says. Jain claims that Varaha has issued over 7,00,000 carbon removal credits and now works with over 2,00,000 farmers. “Most other players have not even issued 10% of that volume,” he says, adding that globally only a handful of companies — such as Terradot, Mombak and Agreea — have managed to repeatedly issue carbon credits at a meaningful scale and build viable businesses around them.

According to Ankit Kedia, founder and lead investor at Capital A, the long-term opportunity in carbon credits is meaningful, but venture capital today is gravitating more towards tangible climate and industrial outcomes such as battery energy storage, solar efficiency, water management, cooling technologies, AI and data centre energy efficiency, and broader industrial decarbonisation.

But what’s the hesitation? Kedia answers that it is less about climate relevance and more about market maturity. “Historically, concerns around fragmented verification standards, pricing volatility, inconsistent credit quality, and limited market depth have made investors more selective,” he adds.

Kedia elaborates that India is a different market and is also likely to evolve differently from the US and Europe. “In Western markets, climate investing has been significantly accelerated through policy interventions, subsidies and compliance-driven demand creation. India’s market may evolve in a more execution-led and cost-driven manner.”

This could explain why inves-



MADHUR JAIN
FOUNDER & CEO, VARAHA

“The cycle of carbon credit issuance can take anywhere between two to four years from the time a project activity begins. Most start-ups don’t survive that long”

tors are increasingly backing start-ups with measurable, commercially viable decarbonisation models over pure carbon trading plays. Another hurdle for early-stage carbon start-ups is ecosystem education. “It’s not just farmers who need to understand the category, but investors and the broader ecosystem as well,” Jain said. According to him, many founders entering the space lack deep agricultural experience, making it harder to clearly articulate how these businesses will scale financially over time. “I wouldn’t say Indian VCs are unwilling to back the sector, but clarity around execution and long-term viability becomes critical in the early stages,” he added.

While India’s carbon credit ecosystem is still at a relatively early stage and requires significant education across farmers, investors and policymakers, the sector is gradually beginning to find commercial



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credibility. Investors are willing to back the space, but increasingly seek measurable outcomes, scientific rigour and financially sustainable business models rather than speculative carbon trading bets. Start-ups such as Varaha and Boomitra are emerging as early movers, while large global agreements involving companies like Amazon and Microsoft are helping validate the long-term potential of the ecosystem.

While VCs are cautious and aren’t yet investing enough in the space, that could change if certain gaps like regulatory clarity, credible verification frameworks and broader industry participation are addressed.

For India’s carbon markets to scale, stronger regulations, credible verification systems and consistent demand visibility will be critical. **BT**

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